The woman completes the risk tolerance questionnaire, and the financial planner calculates the results. He concludes that the woman has the risk tolerance to handle an aggressive portfolio. The advisor suggests an asset allocation of 70 percent in stocks and 30 percent in bonds.

Before recommending individual investments, the planner wishes to ensure that a 70 percent stock and 30 percent bond portfolio is not above the woman's risk tolerance. Therefore, he asks her to take an asset allocation stress test.

A hypothetical portfolio is created to simulate the month-by-month value of a 70 percent stock and 30 percent bond portfolio between the years 2000 and 2002. Two investments are selected for the study: the Vanguard Total Bond Market Index fund and the Vanguard Total U.S. Stock Market Index fund.

The planner assumes that the woman starts with $300,000 in December 1999, withdraws $1,000 per month starting at the end of January 2000, and rebalances the portfolio back to a 70 percent stock and 30 percent bond mix at the end of each year. Table 13-1 is a summary of the investment results over the three-year period.

As the financial planner works through the year 2000 results with his client, the woman is relatively accepting of the results. Although the loss in 2000 is $11,745 and the withdrawals are $12,000 during the period, she is comfortable with the performance and with rebalancing the portfolio at the end of 2000.

TABLE 13-1

Stress Test 1: 70 Percent Stocks and 30 Percent Bonds, 2000–2002; Start with $300,000